



Zebra Technologies Fourth-Quarter and Full-Year 2018 Results

February 14, 2019

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

Financial Highlights

4Q18

+10.8%

NET SALES
GROWTH

+9.1%⁽¹⁾ Organic

21.1%

ADJUSTED
EBITDA MARGIN

+120bps YOY Improvement

\$3.10

NON-GAAP
DILUTED EPS

+33% from 4Q17

\$309M

FREE CASH
FLOW

FY18

+13.2%

ADJUSTED NET
SALES GROWTH

+11.1%⁽¹⁾ Organic

20.7%

ADJUSTED
EBITDA MARGIN

+210bps YOY Improvement

\$11.01

NON-GAAP
DILUTED EPS

+56% from FY17

\$721M

FREE CASH
FLOW

Strong EBITDA

Exceptional Working Capital Management

⁽¹⁾ Assumes constant FX to prior year period and excludes revenue from Xplore Technologies

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Fourth-Quarter P&L Summary⁽¹⁾

In millions, except per share data	4Q18	4Q17	Growth
Net Sales	\$1,137	\$1,026	+10.8%
Organic Net Sales Growth ^(2,3)			+9.1%
Adjusted Gross Profit	\$542	\$470	+15.3%
Adjusted Gross Margin	47.7%	45.8%	+190 bps
Adjusted EBITDA	\$240	\$204	+17.6%
Adjusted EBITDA Margin	21.1%	19.9%	+120 bps
Non-GAAP diluted EPS	\$3.10	\$2.33	+33.0%

ORGANIC SEGMENT SALES GROWTH^(2,3)

EVM Segment +11.6%

AIT Segment +4.3%

REGIONAL ORGANIC SALES GROWTH^(2,3)

North America +11%

EMEA +6%

Asia Pacific +12%

Latin America +10%

EBITDA IMPROVEMENT

Higher gross profit margin

STRONG EPS GROWTH

Lower tax rate

Lower interest costs

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

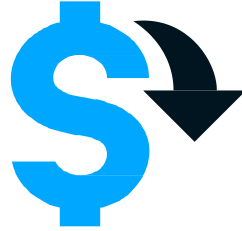
⁽³⁾ Excludes revenue from Xplore Technologies, which was acquired on August 14, 2018

Balance Sheet and Cash Flow Highlights



Liquidity and Debt

- \$44M in cash & cash equivalents as of year-end 2018
- \$1.6B total debt on balance sheet at year end



Debt Paydown

- \$657M in debt payments in 2018
- Achieved net-debt-to-adjusted-EBITDA ratio of 1.8x, down from 3.2x as of year-end 2017

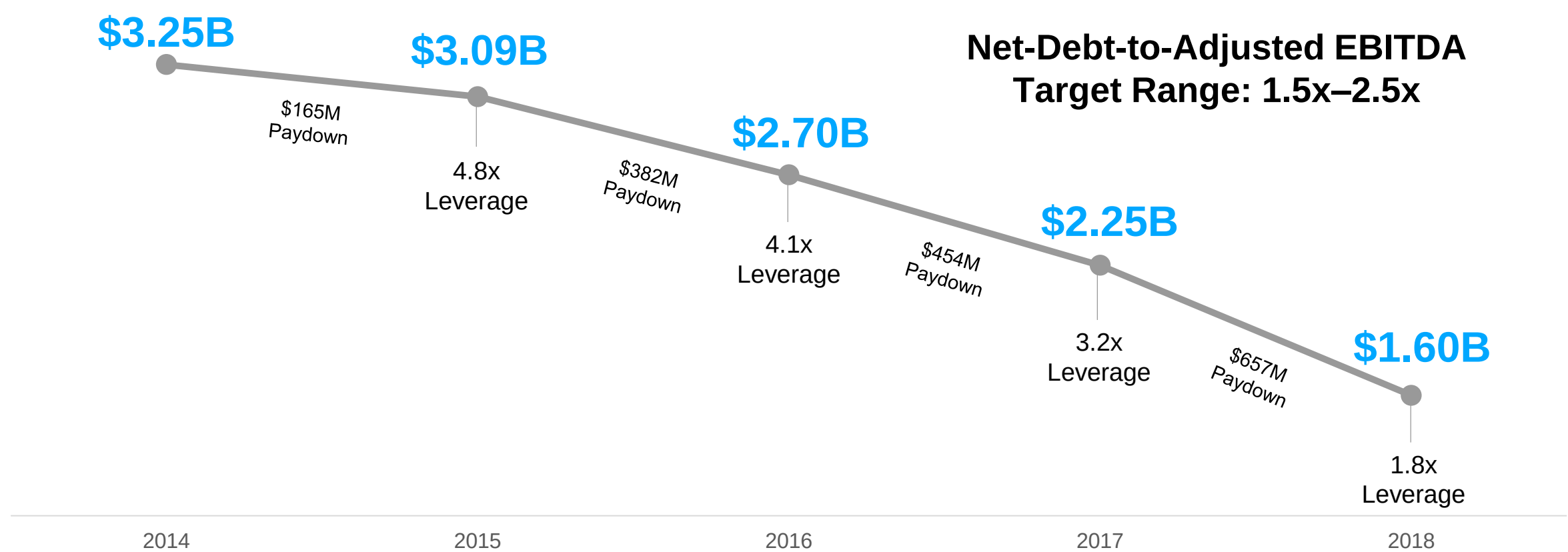


Cash Flow

- \$721M free cash flow in 2018
 - Includes \$33M from EMEA accounts receivable factoring program
- Key drivers of \$293M higher free cash flow vs 2017:
 - Higher operating profitability
 - Lower acquisition & integration costs
 - Lower use of working capital
 - Partially offset by higher capital expenditures

Excellent Progress on Debt Reduction

\$1.6 Billion of Debt Principal Paydown since the Enterprise Acquisition



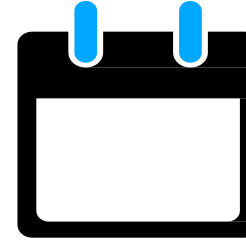
NOTE: Total debt before unamortized discounts and debt issuance costs.

Outlook ⁽¹⁾



1Q19

- Net sales growth 6-9% vs. LY; assumes ~ 150-200 basis point additive impact from the acquisition of Xplore Technologies⁽²⁾ and ~ 100 basis point negative impact from FX
- Adjusted EBITDA margin ~ 21%
- Adjusted diluted EPS range \$2.75 to \$2.95



FY19 ASSUMPTIONS

- Net sales growth of 4-7% vs. 2018; assumes ~ 1 percentage point additive impact from the acquisition of Xplore Technologies⁽²⁾, and approximately ~ 50 basis point negative impact from FX
- Adjusted EBITDA margin slightly higher than 21%
- Free cash flow of at least \$625M
- Capital expenditures ~ 1.5% of sales
- Depreciation ~ \$75-77M and Amortization ~ \$87M
- Stock-based compensation expense \$50-55M
- Pre-tax cost of debt ~ 4%
- Non-GAAP tax rate ~ 16%

(1) Outlook items do not include any projected results from the proposed acquisition of Temptime Corporation, which is expected to close in the first quarter of 2019.

(2) Xplore Technologies was acquired on August 14, 2018.

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Strategic Focus

Extend Leadership in **Core Markets**,
Outpacing the Competition

Drive Growth in Attractive
Adjacent Markets

Advance **Enterprise Asset Intelligence**
Vision

Enhance **Financial Strength** and Flexibility



Zebra Enables Enterprise Asset Intelligence

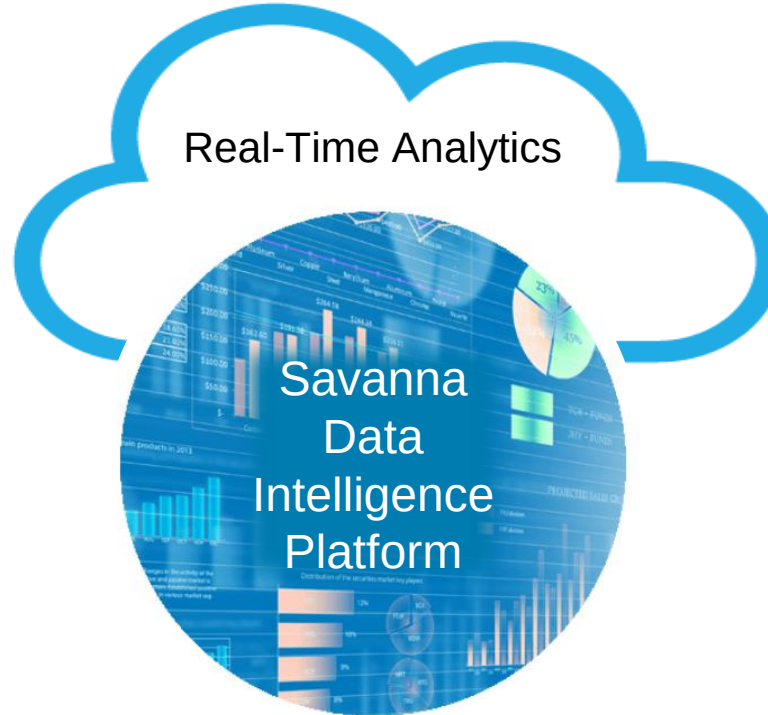
SENSE

Status | Condition | Location



ANALYZE

Real-Time Analytics



ACT

Apply Insight to
Enable the Best Next Move



Our Competitive Differentiation = Hardware + Software + Cloud

Enabling Enterprise Visibility at the Enterprise Edge



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Q & A

Appendix

Use of Non-GAAP Financial Information

This presentation contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this presentation for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in both the current year and prior year periods. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

	Three Months Ended		
	December 31, 2018		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	4.6 %	14.1 %	10.8 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	(0.3)%	(0.6)%	(0.4)%
Impact of Xplore acquisition ⁽²⁾	—	(1.9)%	(1.3)%
Organic Net sales growth	4.3 %	11.6 %	9.1 %

	Twelve Months Ended		
	December 31, 2018		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	8.5 %	15.8 %	13.3 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	(1.5)%	(1.6)%	(1.6)%
Impact of Xplore acquisition ⁽²⁾	—	(0.8)%	(0.6)%
Organic Net sales growth	7.0 %	13.4 %	11.1 %

- (1) Operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, the current period results at the currency exchange rates used in the comparable prior year period, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the company's foreign currency hedging program in both the current and prior year periods.
- (2) For purposes of computing Organic Net Sales, amounts directly attributable to the Xplore acquisition (included in our consolidated results beginning August 14, 2018) will be excluded for 12-months following the acquisition date.

GAAP to Non-GAAP Gross Margin Reconciliation

	Three Months Ended					
	December 31, 2018			December 31, 2017		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 367	\$ 770	\$ 1,137	\$ 351	\$ 675	\$ 1,026
Reported Gross profit ⁽²⁾	182	359	539	169	300	469
Gross Margin	49.6%	46.6%	47.4%	48.1%	44.4%	45.7%

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 367	\$ 770	\$ 1,137	\$ 351	\$ 675	\$ 1,026
Adjusted Gross profit ⁽³⁾	182	360	542	169	301	470
Adjusted Gross Margin	49.6%	46.8%	47.7%	48.1%	44.6%	45.8%

- (1) Fiscal 2017 consolidated results include corporate eliminations which are related to the Enterprise Acquisition in October 2014 and are not reported in segment results.
- (2) Fiscal 2018 consolidated results include corporate eliminations which are related to the Xplore Acquisition in August 2018 and are not reported in segment results.
- (3) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

	Twelve Months Ended					
	December 31, 2018			December 31, 2017		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 1,423	\$ 2,795	\$ 4,218	\$ 1,311	\$ 2,414	\$ 3,722
Reported Gross profit ⁽²⁾	710	1,274	1,981	640	1,073	1,710
Gross Margin	49.9%	45.6%	47.0%	48.8%	44.4%	45.9%

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 1,423	\$ 2,795	\$ 4,218	\$ 1,311	\$ 2,414	\$ 3,725
Adjusted Gross profit ⁽³⁾	711	1,277	1,988	641	1,075	1,716
Adjusted Gross Margin	50.0%	45.7%	47.1%	48.9%	44.5%	46.1%

- (1) Fiscal 2017 consolidated results include corporate eliminations which are related to the Enterprise Acquisition in October 2014 and are not reported in segment results.
- (2) Fiscal 2018 consolidated results include corporate eliminations which are related to the Xplore Acquisition in August 2018 and are not reported in segment results.
- (3) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

	Three Months Ended		Twelve Months Ended	
	December 31, 2018	December 31, 2017	December 31, 2018	December 31, 2017
Net income (loss)	\$ 115	\$ 4	\$ 421	\$ 17
Adjustments to Net sales ⁽¹⁾				
Purchase accounting adjustments	—	—	—	3
Total adjustment to Net sales	—	—	—	3
Adjustments to Cost of sales ⁽¹⁾				
Purchase accounting adjustments	2	—	3	—
Share-based compensation	1	1	4	3
Total adjustments to Cost of sales	3	1	7	3
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	26	33	97	184
Acquisition and integration costs	—	—	8	50
Legal Settlement	—	—	13	—
Share-based compensation	12	10	49	35
Exit and restructuring costs	2	6	11	16
Total adjustments to Operating expenses	40	49	178	285
Adjustments to Other expenses, net ⁽¹⁾				
Debt extinguishment costs	—	16	—	65
Amortization of debt issuance costs and discounts	2	10	15	40
Investment (gain)/loss	(9)	1	(10)	1
Foreign exchange loss	—	3	5	1
Forward interest rate swaps loss/(gain)	18	(1)	(6)	(2)
Total adjustments to Other expenses, net	11	29	4	105
Income tax effect of adjustments ⁽²⁾				
Reported income tax expense	33	74	103	71
Adjusted income tax	(33)	(31)	(115)	(105)
Total adjustments to income tax	—	43	(12)	(34)
Total adjustments	54	122	177	362
Non-GAAP Net income	\$ 169	\$ 126	\$ 598	\$ 379
GAAP earnings per share				
Basic	\$ 2.14	\$ 0.07	\$ 7.86	\$ 0.33
Diluted	\$ 2.11	\$ 0.07	\$ 7.76	\$ 0.32
Non-GAAP earnings per share				
Basic	\$ 3.13	\$ 2.36	\$ 11.16	\$ 7.14
Diluted	\$ 3.10	\$ 2.33	\$ 11.01	\$ 7.05

(1) Presented on a pre-tax basis.

(2) Represents the adjustment to the GAAP basis tax provision commensurate with non-GAAP adjustments.

GAAP to Non-GAAP EBITDA Reconciliation

	Three Months Ended		Twelve Months Ended	
	December 31, 2018	December 31, 2017	December 31, 2018	December 31, 2017
Net income (loss)	\$ 115	\$ 4	\$ 421	\$ 17
Add back:				
Depreciation	18	21	78	79
Amortization of intangible assets	26	33	97	184
Total Other expenses, net	31	55	86	234
Income tax expense	33	74	103	71
EBITDA (Non-GAAP)	223	187	785	585
Adjustments to Net sales				
Purchase accounting adjustments	—	—	—	3
Total adjustments to Net sales	—	—	—	3
Adjustments to Cost of sales				
Purchase accounting adjustments	2	—	3	—
Share-based compensation	1	1	4	3
Total adjustments to Cost of sales	3	1	7	3
Adjustments to Operating expenses				
Acquisition and integration costs	—	—	8	50
Legal Settlement	—	—	13	—
Share-based compensation	12	10	49	35
Exit and restructuring costs	2	6	11	16
Total adjustments to Operating expenses	14	16	81	101
Total adjustments to EBITDA	17	17	88	107
Adjusted EBITDA (Non-GAAP)	\$ 240	\$ 204	\$ 873	\$ 692
Adjusted EBITDA % of Adjusted Net Sales	21.1%	19.9%	20.7%	18.6%

GAAP to Non-GAAP Free Cash Flow Reconciliation

	Twelve Months Ended	
	December 31, 2018	December 31, 2017
Net cash provided by operating activities	\$ 785	\$ 478
Less: Purchases of property, plant and equipment	(64)	(50)
Free cash flow (Non-GAAP) ⁽¹⁾	<u>\$ 721</u>	<u>\$ 428</u>

- (1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.